

**BEFORE
JACALYN J. ZIMMERMAN
ARBITRATOR**

**ILLINOIS FRATERNAL ORDER OF
POLICE LABOR COUNCIL**

and

**CITY OF EAST ST. LOUIS, ILLINOIS
(POLICE DEPARTMENT)**

ILRB Case No. S-MA-16-068

INTEREST ARBITRATION AWARD

Appearances:

For Illinois Fraternal Order of Police Labor Council:

Robert Jones, Esq.
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Springfield, IL 62704

For the City of East St. Louis:

CJ Baricevic, Esq.
Chatham & Baricevic
107 West Main St
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Background

This matter arises under Section 14 of the Illinois Public Labor Relations Act, 5 ILCS 315 *et seq.*, (Act) which provides for interest arbitration for protective service employees in the event that they cannot reach agreement on contract terms.

The City of East St. Louis, Illinois (City or Employer) is located in St. Clair County, an area known as “Metro East” as it is just across the Mississippi River from St. Louis, Missouri. The Illinois Fraternal Order of Police Labor Council (FOP or Union) has, for many years, been the collective bargaining representative of the following unit of the Employer’s employees:

Included: All sworn police officers with the rank of sergeant and below

Excluded: All sworn police officers with the rank of Lieutenant and above, confidential, supervisory personnel and all others prohibited by the Act.

At the relevant time, the Employer employed 28 full-time police officers.

The parties’ most recent collective bargaining agreement was effective 2012 through 2015. The bargaining unit employees have received no salary increases for more than five years. Following extensive negotiations and, as detailed above, the rejection of a tentative agreement (TA), the parties selected the undersigned arbitrator to conduct interest arbitration proceedings to resolve their dispute concerning one term of a new agreement. A hearing was subsequently conducted by videoconference. The parties submitted the matter for resolution on oral argument.

Relevant statutory language

Section 14(g) of the Act sets forth the standard for selection of offers made by the parties:

As to each economic issue, the arbitration panel shall adopt the last offer of settlement which, in the opinion of the arbitration panel, more nearly complies with the applicable factors prescribed in subsection (h). The findings, opinions and order as to all other issues shall be based upon the applicable factors prescribed in subsection (h).

Section 14(h) of the Act sets forth the following criteria upon which the arbitrator is to base her findings:

Where there is no agreement between the parties, or where there is an agreement but the parties have begun negotiations or discussions looking to a new agreement or amendment of the existing agreement, and the wage

rates or amended agreement are in dispute, the arbitration panel. shall base its findings, opinions and order upon the following factors, as applicable:

- (1) The lawful authority of the Employer.
- (2) Stipulations of the parties.
- (3) The interest and welfare of the public and the financial ability of the unit of government to meet those costs.
- (4) Comparison of the wages, hours and conditions of employment of the employees involved in the arbitration proceeding with the wages, hours and conditions of employment of other employees performing similar services and with other employees generally:
 - (a) In public employment in comparable communities.
 - (b) In private employment in comparable communities.
- (5) The average consumer prices for goods and services, commonly known as the cost of living.
- (6) The overall compensation presently received by the employees, including direct wage compensation, vacations, holidays and other excused time, insurance and pensions, medical and hospitalization benefits, the continuity and stability of employment and all other benefits received.
- (7) Changes in any of the foregoing circumstances during the pendency of the arbitration proceedings.
- (8) Such other factors, not confined to the foregoing, which are normally or traditionally taken into consideration in the determination of wages, hours and conditions of employment through voluntary collective bargaining, mediation, fact-finding, arbitration or otherwise between the parties, in the public service or in private employment.

Findings of fact

The only issue before the arbitrator concerns Section 21.4/Appendix "A" Salary schedule for the new agreement. The parties presented identical final offers on this subject, which was Item #4 in both final offers:

Effective 1/1/16 2% base wage increase

Effective 1/1/17 2% base wage increase

Effective 1/1/18 2% base wage increase

Effective 1/1/19 2% base wage increase

Wages will be retroactive on all hours paid.

The parties do not dispute that on or about July 25, 2019, the Union and the City reached a tentative agreement (TA) which included the wage provision contained in both final offers. The City's subsequent rejection of that agreement, and proposal instead for a 0% increase for the four years at issue, is as recounted below, the basis for the instant proceedings.

Ryan Olier has been a Union representative for the City's police force since 2018. Prior to the execution of the tentative agreement, he met with the bargaining unit members to discuss why the proposal for the 2% annual increase had not been ratified before he was assigned to represent the unit. As he explained at the arbitration hearing, Mr. Olier then met with the then-City Manager, and City counsel Mr. Baricevic, as the bargaining unit members wanted to know if there would be layoffs if the Union signed off on the tentative agreement. Mr. Olier testified that the Union was assured that although there was a possibility of layoffs in the future, the City was not looking at any layoffs at that time.

Mr. Olier confirmed at the hearing that the signatures on the TA were his own, as well as those of City Manager Brooke Smith and legal counsel C.J. Baricevic. At a City Council meeting in October 2019, Mr. Baricevic presented the TA and explained that it would constitute an unfair labor practice under the Act should the Council not ratify it, as the City had agreed to its terms.¹ However, the Council, acting upon Ms. Smith's recommendation, voted not to ratify the TA's salary provision.

Ms. Smith explained at the hearing that she was appointed to her position on May 3, 2019. She testified concerning the City's budget issues, including a decline in revenue from the Casino Queen, a major source of income for the City. She explained that the City obtains a large portion of its revenue, including income taxes, sales taxes, and food and beverage taxes, from the Casino Queen, but profits declined steadily as the casino went from a \$14 million business down to \$6 million in 2019.

¹ Mr. Olier also spoke at the meeting, explaining the changes made to minimum manpower and sick leave coverage provisions.

The year-to-date revenue in October 2020, due in part to pandemic closures and restrictions, was \$2 million. She stated that the City's anticipated budget shortfall for 2021 was approximately \$7.6 million.

Ms. Smith also explained that the State of Illinois' "intercept" of City revenue for the benefit of the police and fire pension funds is a substantial factor in the City's budget.² Under the intercept law, pension funds can apply to the State Comptroller's office to request withholding of State revenues that would otherwise go to cities, and to direct those monies to the pension funds for the total amount of unfunded pension payments from city governments.

In September 2019, she stated, the Comptroller intercepted approximately \$4 million to cover the City's underfunded 2017 and 2018 pension amounts. Ms. Smith maintained that the Comptroller will continue to intercept 100% of the City's in-State revenue until its total pension obligation is satisfied.

Ms. Smith asserted that the intercept is the reason the City decided to vote down the TA, and at the time of the hearing it was still not yet "out of the woods" regarding the intercept. Therefore, she maintained, if the City granted the retroactive raises required by the TA, it would have to effectively shut its doors and could not continue operating, although, Ms. Smith stated, the City hoped to reach a settlement on the pension intercept to avoid all revenue being diverted.

As for decreasing spending elsewhere, Ms. Smith noted that there have been several job cuts across all City departments. For example, the City Manager's office was down from five employees to just Ms. Smith, and the Finance Department was down from three or four employees to only one consultant. Even the Police and Fire departments had seen reductions in force.

Ms. Smith also testified that the City has considered seeking funding from the State and federal governments, and the Mayor has been in touch with Governor J.B. Pritzker to see what options the City might have for relief. Trying to obtain a loan has also proved problematic, given that the City has a backlog of uncompleted audits. As of the date of the hearing, the City had not yet heard back from the bank on approval. The City has even

² The intercept law, 40 ILCS 5, became effective in January 2018.

looked at increasing taxes; however, Ms. Smith stated, East St. Louis is currently the highest taxing entity in the area, especially with respect to property taxes.³

Ms. Smith admitted that she was aware of all of these issues concerning the City's finances on July 25, 2019 when she signed the TA. She maintained that she did not feel that there was enough money to pay the 2% increases, but proceeded to sign the TA because she was told she could not renege on the previous City Manager's offer of 2%, as that would constitute regressive bargaining.

Ms. Smith confirmed that she was present when the TA was presented to the City Council in October 2019, and that she briefed the Mayor and Council members about it. She admitted at the arbitration hearing that she recommended that the Council not approve the TA. Ms. Smith explained that she did not know she was legally obligated to argue for ratification as she did not feel like she participated in negotiations, given that the terms were already decided before she took office.

Positions of the parties

The Union

The Union stresses that the only item in dispute is number 4, salary, and requests that the arbitrator enforce the TA as written. First, the Union urges the arbitrator to follow the analysis of Arbitrator Marvin Hill in the 2014 South Holland case. There, Arbitrator Hill detailed a three-part test for determining whether a TA should be enforced, looking at (1) the circumstances surrounding negotiations that led to the TA; (2) the nature of the TA itself; and (3) the reasons for the rejection. The application of that analysis here leads clearly to the conclusion that the City must abide by the TA.

Alternatively, the Union requests that the arbitrator rely on the factors set forth in Section 14(h) of the Act. The Union urges that its proposal is more reasonable given certain statutory factors, including the interest and welfare of the public, an internal and external comparison of wages, and the average consumer price index.

³ Though the City has looked into establishing a tax on its marijuana cultivation facility, State law precludes that, she explained.

The Union stresses that it has provided both comparable percentages from surrounding labor markets as well as the average Consumer Price Index for the years 2016 through 2019. Every percentage supports the union's proposal:

Comps:

Alton → 1.33%
Belleville → 2.25%
Collinsville → 2.05%
Edwardsville → 2.45%
Fairview Heights → 2.5%
Granite City → 2.25%

Consumer Price Index:

2016 → 2.1%
2017 → 2.1%
2018 → 1.9%
2019 → 2.4%

The Union points out that the most significant factor here is the cost of living, because if one relied upon the City's ability to pay, the employees of East St. Louis would never see a pay raise. The FOP points out that East St. Louis has had financial trouble for years, that the City's representatives were well aware of the financial issues when they agreed to the TA, and that the police officers are essentially paying the price for City mismanagement. In defense of the comparables offered, the Union points to a 2010 decision by Arbitrator Reynolds, Case No. S-MA-09-085, that speaks to the appropriate comparable cities and established that it is incumbent upon the City to demonstrate its inability to pay. The Union urges that the arbitrator award the salary increases set forth in the TA.

The City

The City first asserts that the Union is using old census numbers to certify its comparables. As 2020 was a census year, the numbers the Union relies upon here reflect the demographics from 10 years ago, and are therefore irrelevant.

The crux of the City's argument focuses on its financial issues. East St. Louis is not only declining in its ability to generate revenue, but also has increasing tax rates and is losing residents. The Casino Queen, the City's top revenue generator, was closed for at least the four months preceding the hearing due to the pandemic.

Moreover, the City stresses, prior to the lockdown, all revenue coming into the City was diverted to the Comptroller pursuant to the State's pension intercept law. Instead of

that revenue being delivered into the City's general revenue fund, it was seized for the benefit of the Police and Fire departments pension funds.

The City explains further that East St. Louis is one of two cities at the time to have been subjected to this recently-enacted pension intercept law. The other, Harvey, negotiated a settlement. Thus, although the City admits it was aware of its financial burdens before entering negotiations, it had hoped to resolve the intercept issue before the Comptroller seized \$4 million.

The City points out that the first intercept was finalized after the City negotiated and signed the TA, but before the Council voted against it. The City stresses that current case law and the Act grant the arbitrator authority to consider such new information before making a final determination.

Lastly, the City notes that the most important consideration here is the interest and welfare of the East St. Louis citizens. Because the City cannot afford the raises, major layoffs will occur if the TA is authorized. East St. Louis already has one of the highest tax rates in the county and previous City management left four years of audits in arrears. As a result, the City has had trouble obtaining a loan and cannot raise already steep taxes. Thus, the City argues, 0% is the only amount the City can afford if it plans to maintain a viable police department. The arbitrator must allow the City to void the TA, and should award its current offer of no salary increases.

Discussion

As stated at the outset, there is no dispute that until Ms. Smith recommended, and the City Council voted, to reject the TA, the parties were in agreement as to appropriate retroactive salary increases for its police officers, who had been working for several years without any. The Union argues that both the South Holland award, and the traditional analysis governing interest arbitration determinations set forth in Section 14(h) of the Act, require that I award the 2% retroactive increases for 2016 through 2019. On both counts, I agree.

In the South Holland case, Arbitrator Hill reviewed the applicable arbitral caselaw and concluded that whether a party should be bound by a tentative agreement required an examination of all of the surrounding circumstances, as such an agreement is by its

very nature one step away from the final, valid contract. In the case before him, where the union membership refused to ratify an agreement, he termed the parties' deal a "super" agreement which had to be afforded great weight. The same must be said here.

I first note that the wage scale which became part of the tentative agreement was based upon the final offers of both parties, including the Employer's. The negotiations and resulting TA were a multi-year effort, with counsel involved throughout. So far as this record indicates, there was no problem or intent on the City's part to reject the agreement, until City Manager Smith, who had signed off on it, recommended that the City Council reject it, because she did not feel the City could afford it.⁴

At the time that she took this action, Ms. Smith was fairly new to her position, and testified at length concerning the various financial problems which plague the City. The undersigned has worked with these parties for several years, and is well aware of the difficult circumstances in which the City operates, no doubt exacerbated by the pandemic. Nevertheless, as discussed in Arbitrator Reynolds' 2010 interest arbitration award for these parties, the City has suffered these problems for a very long time, and the City officials who were involved in bargaining, as well as its counsel, were well aware of the state of the City's finances when they presented the City's offer and incorporated it into the TA. They obviously believed that the City would find a way to grant its police officers, who work in very difficult circumstances, some additional compensation.

Indeed, Ms. Smith testified that she too was well aware of all of the difficult financial circumstances, including the likely pension intercept by the State Comptroller, at the time she signed the agreement. Nothing changed between then and when she recommended that the City Council walk away from the agreement, except that the Comptroller had taken the anticipated step of proceeding with the intercept. In other words, other than the fact that she, who had worked for the City a relatively short time, had a different view than the bargaining team which negotiated and approved the salary schedule, there was no legitimate, demonstrated reason for the City to reject the TA. I

⁴ I note Ms. Smith's testimony that she signed off on the agreement, even though she disagreed with it, because she was told she could not renege on the City's previous offer. I also note Mr. Olier's testimony that Employer counsel stated at the City Council meeting at issue that the City could be faced with unfair labor practice charges if it rejected the TA. While the Union apparently chose to litigate in this forum rather than before the Illinois Labor Relations Board, counsel's point is well taken.

also note that although Ms. Smith detailed the various fiscal problems, she did so in a general manner and not present any comprehensive analysis of the City's income, expenditures, obligations and the like, showing where money was spent and why it could not be spent for police officer increases. She also described at length the various ways the City was trying to alleviate its problems, including negotiating a settlement to lessen the financial burden of the intercept, as had apparently been done by the City of Harvey. All of these efforts appeared to be ongoing, and could well help the City meet its financial obligations to its police officers .

As Arbitrator Reynolds noted, the fact that salary increases may be difficult to pay does not demonstrate an inability to pay. Here, where the City had determined, and agreed, that it could pay them, and did not demonstrate that it could not, the TA must be enforced.

Even if I did not find the City bound by the TA, the application of the Section 14(h) factors would require that I award what was the offer of both parties, but is now the Union's offer. The City did not dispute the surrounding communities identified by the Union as comparables, other than to state that because they were selected prior to the 2020 census the demographics are irrelevant. The City does not explain why this is the case, nor does it propose any comparables of its own. All of the identified communities, except for one, had annual wage increases higher than those set forth in the TA. It does not dispute the Union's assertion that the TA is supported by annual cost of living increases, and it obviously is, as the TA comes in slightly under those increases.

Rather, the City falls back upon the same financial problems it recites as a basis for voiding the TA. The Employer has demonstrated that it has fiscal problems, but not that those problems require that its critical public safety employees work under the conditions it proposes, no increases for four years. The terms of the TA will be awarded as written.

AWARD and ORDER

The salary provision of the TA signed by the parties on July 25, 2019 constitutes the Award as to that contract term for the collective bargaining agreement at issue. The City is ordered to implement this Award within 30 days. The arbitrator will retain jurisdiction for the period of time necessary to ensure compliance with this Award.

A rectangular box containing a handwritten signature in black ink. The signature appears to read "Jacalyn J. Zimmerman".

Jacalyn J. Zimmerman, Arbitrator
August 2, 2021